UNIT II FORMS OF BUSINESS ORGANISATION

CHAPTER 8

MULTI NATIONAL CORPORATIONS (MNCs)

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Learning Objectives

To enable the students to understand

i. the meaning of a Multi National Corporations,
ii. the advantages, disadvantages,
iii. the examples of MNC

8.01 Meaning and Definition

A multinational company is one which is incorporated in one country (called the home country); but whose operations extend beyond the home country and which carries on business in other countries (called the host countries) in addition to the home country.

It must be emphasized that the headquarters of a multinational company are located in the home country.



A multinational corporation is known by various names such as: global enterprise, international enterprise, world enterprise, transnational corporation etc.

Definition of MNC

"A multinational corporation owns and manages business in two or more countries."

- Neil H.Jacoby

"MNC is defined to be an enterprise operating in several countries but managed from one country"

Oligopoly: It is a market condition where there are very few sellers in the same product line.

Global enterprises are the business organisations which operate in more than one country. Since they operate in more than one nation they are also called as Multi National Companies.

8.02 Advantages and Disadvantages

Advantages

i. Low Cost Labour

MNC set up their facilities in low cost countries and produce goods/service at

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